ABC News (ABS Monthly Household Spending Indicator, Sept 2026) · RBA
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Household spending rose 0.6% in September, but much of it was higher prices rather than more goods

New ABS data show household spending kept growing in September, led by fuel, transport and health. Economists point out that once inflation is stripped out, real spending grew much more slowly than the dollar figures suggest.

WHAT HAPPENED

- Household spending rose **0.6%** in September, after a revised **−0.1%** in August and **+1.0%** in July.
- **Fuel** spending jumped **5.4%**, reflecting higher oil prices and the end of fuel excise relief on 3 August. Transport and health rose 1.5%, and recreation and culture 0.8%.
- Capital Economics says nominal spending rose **2.1%** over the September quarter, but volumes rose only **0.7%**. It thinks inflation may peak near 4.5% this quarter.
- KPMG notes that inflation is above 3% in **45%** of the 87 items in the CPI basket, showing it is broad-based.
- The RBA forecasts headline CPI inflation of **4.5%** in December 2026.

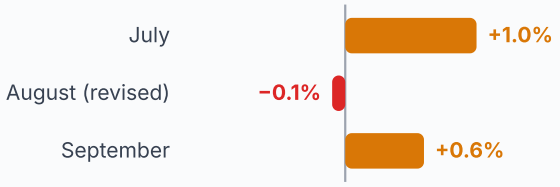
+0.6%
Household spending, September (month)

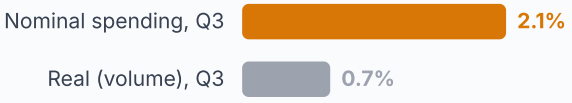
+5.4%
Fuel spending, September

2.1% vs 0.7%
Nominal vs real spending growth, Sept quarter

Nominal vs real: nominal values are in current dollars; real values remove the effect of price rises and measure volume.
Cost-push inflation: inflation caused by rising production costs, such as fuel, shifting SRAS left.

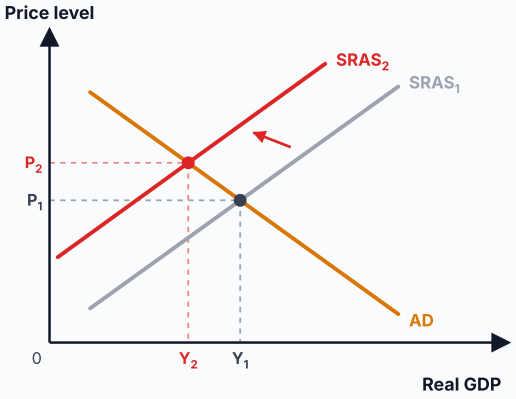
BAR CHART **Monthly change in household spending (ABS)**





The gap between nominal (2.1%) and real (0.7%) growth shows that **most of the extra dollars spent paid for higher prices**, not more goods and services.

DIAGRAM **Fuel costs and cost-push inflation**



Higher fuel prices raise costs for transport, freight and many businesses, shifting supply from **$SRAS_1$ to $SRAS_2$**.

The price level rises from **P_1 to P_2** while real GDP falls from **Y_1 to Y_2**. Households pay more at the bowser, so spending rises in dollars even as real consumption barely grows.

Exam angle: rising nominal spending is not the same as rising living standards. Use real figures when discussing growth, and link fuel prices to **cost-push** inflation.

Syllabus link: Topic 3 – economic issues: inflation (measurement, causes such as cost-push and demand-pull) and economic growth (nominal vs real). Also Topic 4 (the RBA's response to inflation).

Try this
Distinguish between nominal and real growth in household spending, using the September quarter figures. Explain why the difference matters for the RBA. **(4 marks)**

Sources: abc.net.au/news/2026-11-04/asx-markets-business-live-news-nov-4/107343406 · rba.gov.au/publications/smp/2026/nov/

Diagrams are illustrative, not to scale